an insurance company. That experience, more than any other, helped Buffett understand how an insurance company makes money. It also, despite GEICO's shaky financial situation, gave him confidence to purchase the company.

In addition to Berkshire's $4.1 million investment in GEICO's common stock, Buffett also invested $19.4 million in its convertible preferred stock issue, which raised additional capital for the company. Two years later, Berkshire converted these preferred shares into common, and in 1980, Buffett invested another $19 million of Berkshire's money in the company. Between 1976 and 1980, Berkshire invested a total of $47 million, purchasing 7.2 million shares of GEICO at an average price of $6.67 per share. By 1980, that investment had appreciated 123 percent. It was now worth $105 million and had become Buffett's largest holding.

Tenet: Consistent Operating History

On first reaction, we might assume that Buffett violated his consistency tenet. Clearly, GEICO's operations in 1975 and 1976 were anything but consistent. When Byrne became president of GEICO, his job was to turn around the company, and turnarounds, Buffett has often said, seldom turn. So how do we explain Berkshire's purchase of GEICO?

For one thing, it appears to be a turnaround exception. Byrne successfully turned the company and positioned it to compete again for insurance. But more important, Buffett said, GEICO was not terminal, only wounded. Its franchise of providing low-cost agentless insurance was still intact. Furthermore, in the marketplace, there still existed safe drivers who could be insured at rates that would provide a profit for the company. On a price basis, GEICO would always beat its competitors. For decades, GEICO generated substantial profits for its owners by capitalizing on its competitive strengths. These strengths, said Buffett, were still in place. GEICO's troubles in the 1970s had nothing to do with a diminution of its franchise. Rather, the company, because of operating and financial troubles, became sidetracked. Even with no net worth, GEICO was still worth a lot of money because its franchises were still in one piece.